

03-17-00812-CV

**In the Third Court of Appeals
Austin, Texas**

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**AHMAD ZAATARI, MARWA ZAATARI, JENNIFER GIBSON HEBERT, JOSEPH
“MIKE” HEBERT, LINDSAY REDWINE, RAS REDWINE VI, AND TIM KLITCH,**

Plaintiffs-Appellants,

&

THE STATE OF TEXAS,

Intervenor-Appellant,

v.

**CITY OF AUSTIN, TEXAS AND STEVE ADLER,
MAYOR OF THE CITY OF AUSTIN,**

Defendants-Appellees.

On Appeal from the 53rd District Court, Travis County, Texas
Cause No. D-1-GN-16-002620-CV

**BRIEF AMICUS CURIAE OF INSTITUTE FOR JUSTICE
IN SUPPORT OF PLAINTIFFS-APPELLANTS**

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INTEREST OF AMICUS CURIAE¹

The Institute for Justice (IJ) is a nonprofit, public-interest law firm dedicated to the essential foundations of a free society. As the nation’s leading law firm for liberty, IJ provides *pro bono* representation on behalf of clients nationwide whose core liberties have been infringed by the government. In Texas, IJ litigates regularly in support of greater judicial protection for individual rights, including rights secured by the Due Course of Law Clause of Article I, Section 19 of the Texas Constitution. Notably, the Institute represented the plaintiffs in *Patel v. Texas Department of Licensing and Regulation*, 469 S.W.3d 69 (2015), the Texas Supreme Court’s definitive framework for how courts review challenges under the Due Course of Law Clause, which the parties discussed extensively below.

¹ Counsel for the parties in this matter did not author this brief in whole or in part. No person or entity other than the Institute for Justice, its members, and its counsel made any monetary contribution to the preparation or submission of this brief.

TO THE HONORABLE THIRD COURT OF APPEALS:

SUMMARY OF THE ARGUMENT

The purpose of this brief is to provide the Court with guidance on how to apply the test announced in *Patel v. Texas Department of Licensing and Regulation*, 469 S.W.3d 69 (2015). The test announced in *Patel* requires the serious analysis that all constitutional claims deserve. It also insists that evidence play a meaningful role. If the Court's ruling in this case rests on Appellants' Due Course of Law Clause claim under Article I, Section 19,² it should review that claim by applying the *Patel* test as set forth by the Texas Supreme Court.

This brief proceeds in two sections. First, *amicus* explains how *Patel* resolved an open question concerning the test that Texas courts must apply when reviewing claims under the Due Course of Law Clause. After recognizing the three different tests that Texas courts were applying, the Texas Supreme Court clarified the test that courts must apply. Second, *amicus* provides an analysis of the test set forth in *Patel* and why a law is unconstitutional if it fails *any* of *Patel*'s three steps.

² We understand there are other possible grounds for disposition. The Institute expresses no view on whether the Court should examine the case under the Due Course of Law Clause, equal protection, or retroactivity. The purpose of this brief is to describe the proper application of *Patel* in Due Course of Law Clause claims.

ARGUMENT

I. *Patel* Clarified the Proper Test for Reviewing Claims Under the Due Course of Law Clause.

Patel v. Texas Department of Licensing and Regulation is the Texas Supreme Court’s authoritative interpretation of the Texas Constitution’s Due Course of Law Clause. 469 S.W.3d 69 (2015). The clause protects individuals and their businesses against unreasonable governmental interference. *See* Tex. Const. art. I, § 19.³ Under the test announced in *Patel*, Texas courts must provide meaningful judicial protection of the rights enshrined in the Due Course of Law Clause. 469 S.W.3d at 80–87.

The Texas Supreme Court’s decision in *Patel* resolved an open question concerning the proper standard of review when reviewing claims under the Due Course of Law Clause.⁴ Specifically, since the enactment of that provision, three lines of cases had emerged—each applying a different standard of review. *Id.* at 80–82. The *Patel* test combines the first two lines of cases, *see infra* Part II, but rejects the third.

³ “A pro-liberty presumption is . . . hardwired into the Texas Constitution, which declares no citizen shall be ‘deprived of life, liberty, property, [or] privileges or immunities’—phrasing that indicates citizens already possess these freedoms, and government cannot take them ‘except by the due course of the law of the land.’” *Patel v. Tex. Dep’t of Licensing & Regulation*, 469 S.W.3d 69, 93 (Tex. 2015) (Willett, J., concurring, joined by Lehrmann and Devine, JJ.) (emphasis in original) (footnote omitted) (quoting Tex. Const. art. I, § 19).

⁴ Prior to *Patel*, “Texas courts [had] not been entirely consistent in the standard of review applied” in challenges under Article I, Section 19’s Due Course of Law Clause. *Patel*, 469 S.W.3d at 80; *see also id.* at 86.

The first line of cases applied the “real and substantial test.” *Id.* at 80–81. Courts applying this standard not only looked for a real and substantial connection between a law’s legislative purpose and how it functions in practice, but also considered whether the law works “an excessive or undue burden” in light of the government’s interest. *Id.* at 80. The distinguishing characteristic of cases applying this standard of review involved “consider[ing] evidence concerning both the government’s purpose for a law and the law’s real-world impact on the challenging party.” *Id.*

The second line of cases that emerged pre-*Patel* consisted of rational-basis review *with* the consideration of evidence. *Id.* at 81–82. Courts applying this test determined whether there was a logical connection between a challenged law and a legitimate governmental interest—but weighed evidence “to determine the purpose of a law and whether the law enacted to effect that purpose is reasonable.” *Id.* at 82. In other words, courts applying this test evaluated the logic, proportionality, and legitimacy of each rationale for a challenged law in light of record evidence.

Finally, the third line of cases involved courts applying rational-basis review *without* considering evidence. *Id.* Under this most deferential version of rational-basis review, challenged laws survived if they had “any conceivable justification . . . regardless of whether the justification is advanced by the government” or merely invented, and evidence played no meaningful role. *Id.*

Notably, the Texas Supreme Court parted ways with the third, no-evidence type of rational-basis review for claims under the Due Course of Law Clause. The *Patel* majority made expressly clear that the *Patel* test is a “different standard” than the “rational relationship” test applied by federal courts (and the third line of cases), while criticizing such review as “for all practical purposes no standard” at all. *Id.* at 90. Indeed, under *Patel*, “an independent judiciary must *judge* government actions, not merely rationalize them.” *Patel*, 469 S.W.3d at 120 (Willett, J., concurring, joined by Lehrmann and Devine, JJ.) (emphasis in original).

II. The Texas Supreme Court Made Clear That the *Patel* Test Requires Meaningful, Evidence-Based Judicial Review.

The *Patel* test consists of three steps. *Id.* at 87.⁵ First, courts must look at whether there is a logical connection between the challenged law’s purpose and a legitimate governmental interest. Second, even where such a connection is present, courts next look at the record to determine whether the law’s “actual, real-world effect” is connected to the governmental interest. *Id.* Third, even if a legitimate governmental interest were being advanced, courts examine whether the law’s

⁵ The *Patel* test, technically, could be described as a two-part test in which the second part has two distinct inquiries: whether a challenged law advances a legitimate governmental interest in the real world and, if so, whether the burden of the law is nevertheless oppressive. 469 S.W.3d at 87. For ease of explanation, *amicus* will use three steps to describe the *Patel* test.

“actual, real-world effect” is excessively burdensome. *Id.* Courts applying *Patel* must “consider the entire record, including evidence offered by the parties.” *Id.*

As this section will show, the *Patel* test is a meaningful standard of review—one that relies on record evidence and statutory context when analyzing the real-world effect of a challenged law. If a law fails *any* of the three steps in the *Patel* analysis it must be declared unconstitutional.

A. Step one: A law’s purpose must be logically connected to the governmental interest offered to support it.

The first step in *Patel* asks whether the law’s *purpose* is rationally connected to a legitimate governmental interest. *Id.* at 87. In this case, for example, Appellee City of Austin prohibits people from offering a home as a short-term rental if it does not serve as the owner’s primary residence. Austin, Tex. Code § 25-2-950. The City originally justified its anti-home-sharing law as a nuisance abatement measure. *See* 4 CR: 83–86 (claiming the purpose of the anti-home-sharing law is to mitigate public disturbances). But there is no logical connection, even *theoretically*, between prohibiting the short-term rental of homes that do not serve as someone’s primary residence and a governmental interest in preventing noise and disturbances. Creating noise or a disturbance is fundamentally a problem in the decision-making of an individual. There is no plausible set of hypothetical facts under which people renting a home on a short-term basis create noise and disturbance because the owner of that home does not claim the home as her

primary residence. Under *Patel* Step One, the lack of a logical connection between a challenged law’s purpose and a legitimate governmental interest—even considering hypothetical facts—is fatal.

The City raises a series of additional post-hoc justifications for its anti-home-sharing law (for the first time on appeal). *See* Appellees’ Br. 6–8 (justifying anti-home-sharing law as a means to protect sewer systems, to prevent the demolition of historic homes, and as a fire-safety measure, among others).⁶ But when a challenger identifies fundamental irrationalities in the government’s proffered justification for a law, *see, e.g.*, Appellants’ Reply Br. 18–24, courts simply do not credit those rationales advanced by the government. *See Patel*, 469 S.W.3d at 91 (“[J]udicial deference is necessarily constrained where constitutional protections are implicated.”).⁷

⁶ It appears that the City of Austin conceived these new justifications for purposes of this litigation. But the Texas Supreme Court did not use “conceivable” language when pronouncing the *Patel* test. Significantly, in describing the test, the Court omitted the word “conceivable” (even though it is referenced in the third line of cases that had emerged pre-*Patel*—a standard the Court rejected). *Compare Patel*, 469 S.W.3d at 82 (describing the “no-evidence version of the rational basis test”) with *id.* at 87 (describing the *Patel* test).

⁷ Indeed, even under the more lenient federal rational-basis review, a “hypothetical rationale, even post hoc, cannot be fantasy.” *St. Joseph Abbey v. Castille*, 712 F.3d 215, 223 (5th Cir. 2013). But because the standard under the Due Course of Law Clause is higher than rational-basis review, the City’s post-hoc justifications raised for the first time on appeal cannot be squared with the inquiry under *Patel*. *See* 469 S.W.3d at 80–87.

B. Step two: The law must advance a governmental interest in the real world.

Under *Patel* Step Two, a law violates the Due Course of Law Clause if its “actual, real-world effect” is not connected to a legitimate governmental interest. *Id.* at 87. Under *Patel*’s second prong, even if a logical connection between the City’s anti-home-sharing law and a legitimate interest existed, the challenged law must still be held unconstitutional if the evidence shows no interest is actually advanced in the real world.

To begin, the failure of the City’s anti-home-sharing law at Step One of the *Patel* test means the law must also necessarily fail Step Two. If there is not even a *hypothetical* connection between the challenged law and nuisance abatement, there cannot be a connection in the real world. Indeed, the record in this case confirms what *Patel*’s Step One analysis implies: the City’s anti-home-sharing law lacks any actual, real-world connection to nuisance abatement.

The analysis under Step Two centers on the record and the “actual, real-world effect” of a challenged law. For example, short-term rentals have been common in Austin since at least the 1940s, and there is no evidence even suggesting that short-term rentals were a source of noise and disturbances when the City regulated them using the same laws governing noise, parking, and trash that apply to every home. See Appellants’ Br. 4. This is further bolstered by the City’s own study comparing the public disturbance complaints against short-term rentals

with those received against their long-term neighbors (via 311 and 911 calls). *See id.* 5–9. The City’s own study reveals that homes used for short-term rentals produce fewer neighborhood disturbance complaints per capita than homes that do not. *Id.* In other words, there is no basis for believing that, in the real world, homes that are rented on a short-term basis produce any more noise or disturbances than do their long term neighbors.

C. Step three: The law cannot impose burdens that outweigh its public benefits in the real world.

Under *Patel*’s burden inquiry, the City’s anti-home-sharing law fails if it is “so burdensome as to be oppressive in light of [] the governmental interest.” 469 S.W.3d at 87. The burden prong weighs the cost a challenged law inflicts on a citizen against demonstrable public benefits.

In *Patel*, for example, the Texas Supreme Court found that the practice of eyebrow threading posed some health risks that regulation could possibly address, including the potential, in extreme circumstances, to “spread [] highly contagious bacterial and viral infections.” *Id.* at 89. This remote potential public benefit was weighed against the fact that threaders had to take at least 320 hours of irrelevant training to thread eyebrows legally. *Id.* The threaders also lost “the opportunity to make money actively practicing their trade.” *Id.* at 90. In other words, the degree of burden must be justified by what is achieved by the law. There, the Court found that requiring 320 hours of irrelevant training that resulted in the loss of income

was oppressively burdensome in light of a public benefit that, the evidence showed, was extremely small. *Id.*

In this case, the record reveals that there is no rational sense of proportionality between the private burdens and public benefits. The record shows, for example, that the City's anti-home-sharing law imposes massive financial burdens on Appellants—burdens that risk depriving them of a valuable source of income worth tens of thousands of dollars each year. Appellants' Br. 12–18. On the public benefits side of the scale, however, the record reveals that prohibiting a homeowner from renting out her home on a short-term basis (because it is not her primary residence) accomplishes nothing. In other words, the law imposes immense financial losses on the Appellants in exchange for zero (or immeasurably tiny) public benefits.

CONCLUSION

Texas has a proud history of enforcing the Texas Constitution's protections under the Due Course of Law Clause. Those rights require meaningful judicial protection. The test established in *Patel* ensures that courts will do exactly that.

RESPECTFULLY SUBMITTED this 14th day of November, 2018.

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CERTIFICATE OF COMPLIANCE

Microsoft Word reports that the foregoing Brief *Amicus Curiae* of Institute for Justice In Support of Plaintiffs-Appellants contains 2405 words, excluding the portions of the brief exempted by Rule 9.4(i)(1).

/s/ Arif Panju

CERTIFICATE OF SERVICE

I certify that on November 14, 2018, a true and correct copy of the foregoing Brief *Amicus Curiae* of Institute for Justice In Support of Plaintiffs-Appellants was served electronically to the following counsel of record through the Court's electronic filing system:

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